

One commenter stated that the Commission should require the exchanges to “revert to traditional fees imposed on buyers or sellers or both without regard to the maker-taker status.”⁴⁴² Rule 610(c) does not require any particular fee structure, like a flat fee structure suggested by a commenter.⁴⁴³ Instead, the access fee caps set an upper limit on the amount of fees that can be charged for access to protected quotations. Within this construct, trading centers can continue to develop fee structures that are consistent with Rule 610 as well as any other regulatory requirements that may be relevant to a particular trading center.⁴⁴⁴

a. Access Fees and Minimum Pricing Increments

Several commenters stated the Commission should lower the access fee caps regardless of whether any changes are made to the minimum pricing increments and stated that such changes are warranted even if the Commission elects not to proceed with the proposed tick changes.⁴⁴⁵ One commenter stated “the current harms associated with the \$0.003 access fee cap and maker-taker pricing models exist at the current tick sizes. Accordingly, the Commission should consider reducing the access fee cap even if it ultimately decides not to proceed with the proposed tick size changes.”⁴⁴⁶ Another commenter, however, “strongly disagreeing” with commenters’ suggestion that regulatory reform of exchange fees could proceed independently, stated that “[c]alls for regulatory mandated reductions in exchange access fee caps fail to

⁴⁴² See Harris Letter at 1 and 4.

⁴⁴³ See Harris Letter at 4.

⁴⁴⁴ National securities exchanges establish and amend their fee schedules by filing proposed fee rule changes, pursuant to section 19(b) of the Exchange Act and rule 19b-4 thereunder, for Commission review. See 15 U.S.C. 78f(b)(4) and (5)(requiring the rules of the exchange provide for the equitable allocation of reasonable dues, fees, and other charges among members, and issuers and other persons using its facilities and not be designed to permit unfair discrimination).

⁴⁴⁵ See, e.g., Healthy Markets Letter I at 24; Vanguard Letter at 6. See also *supra* note 422.

⁴⁴⁶ See Vanguard Letter at 6.

recognize that exchange access fee caps were adopted and justified to facilitate effective intermarket linkages.”⁴⁴⁷

Other commenters stated that the levels of the access fee caps and the minimum pricing increments are connected.⁴⁴⁸ One commenter stated “[a] reduction in the minimum tick size without reducing access fees could permit fees to become a higher percentage of the minimum pricing increment, which would almost certainly undermine price transparency.”⁴⁴⁹ Commenters stated that the access fee caps should be reduced to help ensure that access fees do not become an outsized portion of displayed quotes in light of proposed changes to the minimum pricing increments.⁴⁵⁰ One commenter stated that it was “recommend[ing] keeping fees strictly less than ½ of the tick size” in order to prevent “price instability and quote flickering” and stated “[i]f fees reach ½ the tick size, it means that the same effective price point can be achieved multiple ways on an all-in basis with different nominal prices (e.g., an offer at 10.000 with a \$0.0005 rebate, or a bid of 10.001 with a \$0.0005 rebate).”⁴⁵¹ Another commenter stated “if the access fee cap were to exceed half of the tick size, the paper trail can be not only confusing but can literally misrank trades.”⁴⁵²

⁴⁴⁷ Cboe Letter III at 1-2.

⁴⁴⁸ See, e.g., SIFMA Letter II at 39 (stating “the Commission appropriately recognized that tick sizes and access fees are linked with each other”); Nasdaq Letter I at 19 (“support[ing] adjusting the access fee cap to accommodate new tick sizes”); Better Markets Letter II at 3-4; MEMX Letter at 22 (“access fees and tick sizes are inherently linked”).

⁴⁴⁹ Better Markets Letter II at 3-4.

⁴⁵⁰ See, e.g., Invesco Letter at 4; NASAA Letter at 9; JPMorgan Letter at 6; Better Markets Letter II at 4; Healthy Markets Letter I at 22; Pragma Letter at 7; Budish Letter at 6; AIMA Letter at 4.

⁴⁵¹ Pragma Letter at 7.

⁴⁵² Budish Letter at 6.

As recognized by several commenters, access fees and tick sizes are related in certain instances.⁴⁵³ Specifically, an access fee that is too high when compared to the tick size can create pricing distortions.⁴⁵⁴ Therefore, because the Commission is reducing the minimum pricing increments for certain NMS stocks as set forth in Rule 612, the Commission is also reducing the Rule 610(c) access fee caps to prevent introducing pricing distortions that can occur if an access fee is greater than one-half of the tick. Maintaining an access fee cap that is less than one-half of the tick size will preserve coherence⁴⁵⁵ and result in lower transaction costs for investors.⁴⁵⁶

Further, lowering the access fee cap to 10 mills for those NMS stocks assigned a lower tick will address the distortionary effect on price transparency that would result absent adjustment to the access fee cap.⁴⁵⁷ To illustrate, if the access fee cap remained at \$0.003, which would fund rebates at a similar level, and the tick size was adjusted to \$0.005, the effect on the price of a stock could be as follows. An executed trade could be displayed at a price of \$10.005 followed by another executed trade at a price of \$10.010. Many investors would interpret this as a sign that a stock was increasing in value. However, with an access fee of \$0.003, the net price of the first order if it represents a market order to buy would be \$10.008 (the buyer pays \$10.005 and pays \$0.003 in fees), whereas the net price of the second order if it is a market order to sell would be \$10.007 (the seller receives \$10.010 and pays \$0.003 in fees). In this example, the price has fallen, not risen. Lowering the access fee cap to 10 mills will mitigate this problem.⁴⁵⁸

⁴⁵³ See, e.g., MEMX Letter at 22; SIFMA Letter II at 39; Better Markets Letter II at 3-4; Nasdaq Letter I at 19. See also *infra* section VII.D.2.

⁴⁵⁴ See *infra* section VII.D.2.a.

⁴⁵⁵ See *infra* section VII.D.2.a.

⁴⁵⁶ See *id.*

⁴⁵⁷ See *id.*

⁴⁵⁸ See *id.*

The Commission also agrees that the access fee caps should be lowered for all NMS stocks regardless of whether a stock is assigned the lower pricing increment of \$0.005 or retains a \$0.01 minimum pricing increment to address market distortions attributable to the fee structures that have developed under the access fee caps and align the fee caps with current market dynamics. The Commission is reducing the access fee caps for all NMS stocks and maintaining the structure that was originally adopted, i.e., assigning an access fee cap based on the price of the protected quotation. And, as discussed above, maintaining a uniform access fee cap structure will help to ensure that the requirements under Rule 610(c) do not increase the fee structure complexity.

Some commenters were generally supportive of an access fee cap reduction because of the changes to the minimum pricing increment, but offered no or few specifics as to the amount or percentage of the reduction.⁴⁵⁹ Other commenters urged the Commission to reduce the access fee caps in a manner that is proportionate to any reduction in the tick (e.g., for a \$0.005 tick, the access fee cap should be 15 mils).⁴⁶⁰

Some commenters stated that the access fee caps should be 30% of the minimum pricing increment in order to remain consistent with the percentage level under the preexisting rule.⁴⁶¹ These commenters recommended maintaining the current 30% ratio between tick size and access fee cap because they were primarily concerned that the proposal would result in access fees that were 50% of the tick (an increase in fee to tick ratio) for the smallest proposed tick size (i.e., the

⁴⁵⁹ See, e.g., AIMA Letter at 4; Cambridge Letter at 6; ICI Letter I at 16; STA Letter at 8.

⁴⁶⁰ See, e.g., Pragma Letter at 7; MFA Letter at 13; Schwab Letter II at 6 and 36; SIFMA Letter II at 45; MEMX Letter at 22; Jefferies Letter at 2; NYSE Letter I at 7; Nasdaq Letter I at 29; NYSE, Schwab, and Citadel Letter at 1-2.

⁴⁶¹ See, e.g., FIA PTG Letter II at 3; Hudson River Letter at 4; MMI Letter at 7; Robinhood Letter at 46, 56-59. See also MEMX at 22.

proposed \$0.001 tick would have been assigned a 5 mils access fee cap). Other commenters expressed concern regarding application of a two-tiered access fee cap structure to a four-tiered reduction in minimum pricing increments.⁴⁶² These commenters' concerns regarding both the increase in fee to tick ratio and asymmetrical structure of the proposal, however, have been obviated because the Commission is neither adopting the \$0.001 tick, nor the corresponding 5 mils cap.

Other commenters stated that the access fee caps should be reduced only for NMS stocks that are assigned a smaller minimum pricing increment and only in proportion to the amount of a stated corresponding decrease in the tick size, i.e., NMS stocks that were assigned a smaller \$0.005 tick size would be subject to a 15 mils access fee cap.⁴⁶³ Similarly, several exchange groups commented on the proposal and offered alternative approaches to modify Rule 610(c) to reflect the change in minimum pricing increments.⁴⁶⁴ One exchange group commenter supported the need to adjust the access fee caps to accommodate the proposed new tick sizes, but stated its view that the proposal went “far beyond what is needed” to achieve that purpose “to the detriment of market quality and the NBBO” because reducing the caps would implicitly reduce rebates, which would impede exchanges' ability to attract liquidity and encourage tighter spreads.⁴⁶⁵ As an alternative to the proposal, the commenter recommended the Commission adopt a fee cap of 15 mils for NMS stocks assigned to a \$0.005 minimum pricing increment and retain the preexisting 30 mils access fee cap for NMS stocks that retain the \$0.01 minimum

⁴⁶² See, e.g., JPMorgan Letter at 6; MFA Letter at 13.

⁴⁶³ See, e.g., Fidelity Letter at 14-15; Cambridge Letter at 6; NYSE, Schwab, and Citadel Letter at 2; MEMX Letter at 23; Jefferies Letter at 2; Schwab Letter II at 6.

⁴⁶⁴ See Nasdaq Letters I and II; NYSE Letter I; and Cboe Letters I-IV.

⁴⁶⁵ Nasdaq Letter I at 2 and 19.

pricing increment.⁴⁶⁶ According to this commenter, this alternative “would cut access fees by half for securities in the \$0.005 tick bucket, while preserving room for exchanges to continue [to] offer rebates that are needed to bolster market quality and the NBBO.”⁴⁶⁷ This commenter further stated that although the Commission intends the proposal to help the exchanges compete for retail order flow by reducing the cost for broker-dealers to access liquidity on the exchange, compressing the access fee caps would make it more expensive to provide liquidity to the exchanges and thus any benefit would be undermined.⁴⁶⁸

Several commenters stated that there should be a uniform fee cap to “avoid any additional market complexity.”⁴⁶⁹ Some commenters stated that the proposed tiered access fee caps and the proposed variable minimum pricing increments would add unnecessary complexity.⁴⁷⁰ One commenter stated that it “strongly favor[ed] a single, consistent standard, rather than multiple caps tied to different ticks, which would create unnecessary complexity.”⁴⁷¹ Another commenter stated that applying a uniform cap across all NMS stocks would help to address market distortions such as routing conflicts arising from the maker-taker fee model.⁴⁷² Another commenter stated that continuing to apply a uniform cap will more effectively achieve the objectives of Rule 610 because absent such adjustment, “the ability of exchanges to abuse their status as protected markets will be no less for stocks that are assigned a higher tick

⁴⁶⁶ Nasdaq Letter I at 2, 19 and 29. See also NYSE Letter I at 7.

⁴⁶⁷ Nasdaq Letter I at 2.

⁴⁶⁸ Nasdaq Letter I at 20.

⁴⁶⁹ Better Markets Letter I at 16. See also e.g., Better Markets Letter II at 4; Brandes Letter at 3; BlackRock Letter at 11; JPMorgan Letter at 6; Invesco Letter at 4.

⁴⁷⁰ See, e.g., JPMorgan Letter at 6; Brandes Letter at 3.

⁴⁷¹ Brandes Letter at 3.

⁴⁷² Capital Group Letter at 4.

increment.”⁴⁷³ One commenter stated that setting different fee caps based on tick size would “allow exchanges to impose a ‘penalty fee’ for participants looking to access quotes in stocks that are less actively traded” and further stated that “there is no justification in logic or regulatory purpose to make that distinction.”⁴⁷⁴ However, other commenters disfavored a “one-size-fits-all” model.⁴⁷⁵ One commenter suggested the Commission consider a “dynamic tick size approach with the access fee cap proportionally tied to both smaller and larger tick sizes”⁴⁷⁶ and recommended the access fee caps be a certain percentage of the minimum pricing increment, but did not propose a particular percentage that should be adopted.⁴⁷⁷

Other commenters disagreed that the level of the access fee cap should be tied to the pricing increment assigned. One exchange commenter stated that the “original justification for access fee caps had nothing to do with tick sizes” and instead “centered around ensuring that transaction fees did not unduly distort the price of a quote that the Commission was protecting by rule [611].”⁴⁷⁸ This commenter also stated that “[m]odifications to access fee caps should only be discussed in the context under which they were conceived” which was “to ensure that market centers displaying the best price did not impose access fees that compromised the value of the better price.”⁴⁷⁹

⁴⁷³ See, e.g., IEX Letter VI at 2.

⁴⁷⁴ IEX Letter VI at 2.

⁴⁷⁵ See, e.g., T. Rowe Price Letter at 4; BlackRock Letter at 10-11; Citigroup Letter at 5-6; Letter from Phil Mackintosh, Nasdaq, Inc., dated May 7, 2024, at 2 (“Nasdaq Letter V”).

⁴⁷⁶ Morgan Stanley Letter at 3.

⁴⁷⁷ Morgan Stanley Letter at 3-4.

⁴⁷⁸ See Cboe Letter IV at 2.

⁴⁷⁹ See Cboe Letter IV at 2.

The Commission agrees that one of the purposes of the access fee cap was, and remains, to help to ensure that transaction fees do not unduly distort the price of protected quotations. However, the Commission does not agree that goal is best achieved by adopting certain commenters' recommendation to reduce the access fee caps proportionally (i.e., to 15 mils) and only for those NMS stocks that are assigned a smaller minimum pricing increment. A proportional reduction for a limited universe of NMS stocks would allow higher access fees and rebates along with related market distortions to continue for the NMS stocks that retain the \$0.01 increment and would perpetuate unwarranted complexity (e.g., complex orders types, market fragmentation, complex fee and rebate schedules and frequent changes to complex order routing strategies to adjust to fee changes) to the current market structure.⁴⁸⁰ Applying a uniform 10 mil access fee cap to access protected quotations in all NMS stocks priced \$1.00 or greater will avoid injecting complexity⁴⁸¹ in the market and will continue to guard against "outlier" markets undermining the objectives of Rule 611.

While the Commission agrees with commenters that tick size and access fees are relational in so far as the access fee cannot be more than half of the minimum pricing increment (for the reasons discussed above), maintaining the current proportionality of the access fee to tick could perpetuate distortions in the market. As stated by one commenter, "when the cap was set in 2005, neither the Commission nor commenters ever suggested that the cap should be exactly equal to a fixed proportion of the tick size."⁴⁸²

⁴⁸⁰ See infra section VII.D.2.

⁴⁸¹ See infra section VII.D.2.d.

⁴⁸² IEX Letter V at 7.

Further, lowering the access fee cap for only those NMS stocks that are assigned a lower minimum pricing increment (i.e., those NMS stocks that are constrained by the \$0.01 minimum pricing increment) and maintaining the preexisting (30 mils) fee cap for all other NMS stocks priced \$1.00 or greater could increase the probability that some stocks will oscillate from one tick size to another rather than settling on an appropriate tick. This oscillation creates additional cost for market participants, introduces complexity in the markets and creates operational risk.⁴⁸³ In addition, continuing to apply a 30 mil access fee cap to those NMS stocks that continue to be assigned a \$0.01 pricing increment would ignore the efficiencies in trading⁴⁸⁴ that have been realized in the intervening 19 years since the caps were adopted and would not address the distortive effects of access fee structures that assess access fees at or near the current cap in order to maximize the amount of the rebate that can be offered.⁴⁸⁵

In addition, as discussed below, and supported by some commenters, fees and rebates which are currently benchmarked against the 30 mil cap have a negative impact on price transparency and routing practices.⁴⁸⁶ According to one commenter, “there is evidence that exchanges that pay the highest rebates often provide worse execution quality.”⁴⁸⁷ Another commenter provided data it said demonstrates that “poor execution quality is directly linked to high access fees.”⁴⁸⁸

⁴⁸³ See infra section VII.F.2.a.

⁴⁸⁴ See supra note 405 and accompanying text (discussing trading efficiencies due to technology changes and reduced costs), infra note 598, and infra section IV.D.1.d.

⁴⁸⁵ See infra section IV.D.1.d.

⁴⁸⁶ See, e.g., IEX Letter IV at 2-4; Better Markets Letter I at 16.

⁴⁸⁷ Better Markets Letter I at 16. See also IEX Letter VI at 7; NASAA at 9.

⁴⁸⁸ IEX Letter VI at 7.

Lowering the cap to 10 mils for all NMS stocks, both those that are assigned a \$0.005 tick and those that retain the \$0.01 tick, will benefit market participants, including investors, by lessening the incentives to route to a market in order to receive a rebate.

The Commission proposed a two-level access fee cap structure for access to protected quotes in NMS stocks priced at \$1.00 or more to accommodate the proposed variable minimum pricing increment structure and specifically to prevent the access fee caps from creating pricing distortions with the smallest proposed minimum pricing increment (*i.e.*, 5 mils access fee cap for NMS stocks that would have been assigned a \$0.001 pricing increment and 10 mils cap for NMS stocks that would have been assigned a pricing increment greater than \$0.001).⁴⁸⁹ Specifically, the proposed 5 mil access fee cap was necessary to accommodate the proposed lowest \$0.001 minimum pricing increment because imposing the proposed 10 mil access fee cap on the \$0.001 minimum pricing increment would have created distortions in quoting and negatively impact pricing transparency.⁴⁹⁰

Several commenters raised concerns about the proposed 5 mil access fee cap and its ratio as compared to the minimum pricing increment.⁴⁹¹ One commenter stated that “[a]t 50% of the minimum pricing increment, a round trip buy and sell trade could result in access fees equal to the spread” and expressing concern that “at 50% of the spread, rebates of greater than half of the

⁴⁸⁹ See Proposing Release, *supra* note 11, at 80348 (stating “the access fee cap should not be greater than ½ of the tick size in order to preserve coherence between net and nominal price rankings of trading venues. This would not be possible with an access fee cap of \$0.001 and a lowest possible proposed tick size of the same amount, as would be the case for the smallest tick size tier from the proposal.”).

⁴⁹⁰ See Proposing Release, *supra* note 11, at 80267 & 80289-90 (stating “[a] reduction in the minimum pricing increment without reducing the access fee caps could permit fees to become a higher percentage of the minimum pricing increment, which could potentially undermine price transparency and exacerbate the other concerns with maker-taker fees.”).

⁴⁹¹ See, *e.g.*, Schwab Letter II at 6 and 36; SIFMA Letter II at 45; Citadel Letter I at 23; Hudson River Letter at 4; AIMA Letter at 4; Robinhood Letter at 57-58.